Practice workbook · Double entry for irrecoverable debts and the provision

Recording a write-off or the creation of a provision as a journal entry or as a debit and credit pair.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-09

1. Question 13 · part a · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part a only.

13 Shahid maintains a provision for irrecoverable debts of 4% of trade receivables. The balance of the provision at 1 April 2023 was $1 205

At 31 March 2024 the balance of the trade receivables ledger control account was $28 750. This included a debt of $450 due from a credit customer that was irrecoverable.

(a) Prepare a journal entry to write off the irrecoverable debt. A narrative is **not** required.

(2)

Journal

Date 2024	Account	Debit $	Credit $
March 31			

(b) Calculate the change in the provision for irrecoverable debts at 31 March 2024 stating clearly whether the change is an increase or decrease in the provision.

(3)

(Total for Question 13 = 5 marks)

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Working and answer

2. Question 13 · part a · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

13 Juan maintains a provision for irrecoverable debts at 5% of trade receivables.

The balance of the provision at 1 May 2019 was $3 122

At 30 April 2020 the balance of Juan's trade receivables ledger control account was $58 200 of which $1 600 was irrecoverable.

(a) Prepare the journal entry to write off the irrecoverable debt.

A narrative **is** required.

(3)

Journal

Date	Details	Debit $	Credit $
30 April 2020			

(b) Calculate the balance of the provision for irrecoverable debts account at 1 May 2020.

(2)

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(Total for Question 13 = 5 marks)

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Working and answer

3. Question 17 · part a · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part a only.

17 (a) Complete the table below, indicating with a tick (✓) which account will be debited and which account will be credited when writing off an irrecoverable debt.

(2)

Account	Debit	Credit
Trade receivables control		
Irrecoverable debts		

(b) State **two** accounting concepts that apply when writing off an irrecoverable debt.

(2)

1 .....

2 .....

Nyan maintains a provision for irrecoverable debts of 5% of trade receivables.

On 1 March 2019 the balance of the provision for irrecoverable debts account was $1 845

On 29 February 2020 trade receivables were $42 520. This included $380 that Nyan considered to be irrecoverable.

(c) Calculate the balance of the provision for irrecoverable debts at 29 February 2020.

(2)

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3. Question 17 · part a · 2 marks · Working and answer

Working and answer

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4. Question 12 · part a · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part a only.

12 At 30 September 2020 the balance of Rashida's trade receivables ledger control account was $39 650. A debt of $730 due from Lee was irrecoverable.

(a) Prepare a journal entry in Rashida's books to write off the irrecoverable debt. A narrative is not required.

(2)

Date	Account	Debit $	Credit $
30/09/20			

Rashida maintains a provision for irrecoverable debts of 5% of trade receivables.

At 1 October 2019 the balance of the provision for irrecoverable debts account was $1 635.

(b) Calculate the increase or decrease in the provision for irrecoverable debts at 30 September 2020.

(2)

(c) State in which section of the statement of financial position the provision for irrecoverable debts would appear.

(1)

(Total for Question 12 = 5 marks)

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4. Question 12 · part a · 2 marks · Working and answer

Working and answer

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5. Question 10 · part whole · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

10 Identify the double entry to record the writing off of an irrecoverable debt.

		Account to be debited	Account to be credited
☒	**A**	Irrecoverable debts	Provision for irrecoverable debts
☒	**B**	Irrecoverable debts	Trade receivables ledger control
☒	**C**	Provision for irrecoverable debts	Irrecoverable debts
☒	**D**	Trade receivables ledger control	Irrecoverable debts

(Total for Question 10 = 1 mark)

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Working and answer

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6. Question 13 · part b.i · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b.i only.

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13 (a) State the name of the book of original entry used to record an irrecoverable debt written off.

(1)

(b) State the double entry to record the following transactions:

(i) the writing off of an irrecoverable debt

(2)

Account to be debited	Account to be credited

(ii) the creation of a provision for irrecoverable debts.

(2)

Account to be debited	Account to be credited

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(Total for Question 13 = 5 marks)

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Working and answer

7. Question 13 · part b.ii · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b.ii only.

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13 (a) State the name of the book of original entry used to record an irrecoverable debt written off.

(1)

.....

(b) State the double entry to record the following transactions:

(i) the writing off of an irrecoverable debt

(2)

Account to be debited	Account to be credited

(ii) the creation of a provision for irrecoverable debts.

(2)

Account to be debited	Account to be credited

(Total for Question 13 = 5 marks)

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Working and answer

8. Question 14 · part b · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part b only.

14 (a) State **two** benefits to a business of offering a trade discount.

(2)

1 .....

2 .....

Mira owns a retail business. She maintains a full set of accounting records.

On 1 March 2025, the balances on Mira's trade receivables ledger were Alicia, $1 440, and BZ Traders, $458

Mira allows Alicia a 10% trade discount.

During March 2025, the following transactions took place.

March 2025	Transaction
10	Received a cheque, $426, from BZ Traders in part settlement of the outstanding balance at 1 March 2025.
10	Sold goods on credit to Alicia, list price $850
12	Sold goods on credit to BZ Traders, list price $310
16	Alicia returned damaged goods to Mira, list price $120
19	Received notice from the bank that the cheque received from BZ Traders, $426, had been dishonoured.
30	Alicia settled the outstanding balance at 1 March 2025 by bank transfer after taking a cash discount of 5%.
31	Mira wrote off $32 on BZ Traders' account as irrecoverable.

(b) Prepare a journal entry to record the transaction on 31 March 2025. A narrative **is** required.

(3)

Journal

Date 2025	Account	Debit $	Credit $
March 31			

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8. Question 14 · part b · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part b only.

(c) Prepare the following ledger accounts in the books of Mira. Balance the accounts at 31 March 2025 and bring the balances down on 1 April 2025.

(10)

Alicia Account

Date 2025	Details	$	Date 2025	Details	$

BZ Traders Account

Date 2025	Details	$	Date 2025	Details	$

(Total for Question 14 = 15 marks)

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8. Question 14 · part b · 3 marks · Working and answer

Working and answer

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9. Question 11 · part b.i · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part b.i only.

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11 (a) State the book of original entry used to record the write-off of an irrecoverable debt.

(1)

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(b) State the double entry to record **each** transaction:

(i) the write-off of an irrecoverable debt

(2)

Account to be debited	Account to be credited

(ii) the creation of a provision for an irrecoverable debt.

(2)

Account to be debited	Account to be credited

(Total for Question 11 = 5 marks)

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Working and answer

10. Question 11 · part b.ii · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part b.ii only.

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11 (a) State the book of original entry used to record the write-off of an irrecoverable debt.

(1)

.....

(b) State the double entry to record **each** transaction:

(i) the write-off of an irrecoverable debt

(2)

Account to be debited	Account to be credited

(ii) the creation of a provision for an irrecoverable debt.

(2)

Account to be debited	Account to be credited

(Total for Question 11 = 5 marks)

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Working and answer